Revision 2021 | Semester 4

Minor Project (4007)

Diploma in Commercial Practice

Credits: 2 | Category: Minor Project | Hours: 60 | P: 4 Periods/Week

Download Project Guidelines

Official Source Declaration

This digital lesson is constructed based on the **Official Syllabus PDF for Course Code 4007 (Minor Project)** under the 2021 Revision of the Diploma in Commercial Practice, SITTTR Kerala.

Verification: All course objectives, outcomes, prerequisites, and report formats are extracted directly from the official document. The syllabus specifies a total of 60 hours divided equally (15 hours each) across four major project phases/outcomes.

Course Dashboard

Course Title	Minor Project	**Course Code**	4007
Semester	4	**Credits**	2
Teaching Scheme	L:0, T:0, P:4	**Total Periods**	60 per semester

Course Objectives

- To provide the students with a real-time learning experience.
- To apply the concepts learned in previous semesters.
- To enable the student to prepare final accounts of non-manufacturing entities.

How to Study this Course

This is a **Practical/Project-based** course. Unlike theory subjects, your success depends on the accuracy of the accounting cycle you perform. Follow these steps:

1. **Data Collection:** Start by collecting or creating realistic business vouchers.
2. **Sequential Entry:** Do not skip steps. Record in Day Books before moving to Ledgers.
3. **Software Application:** Use Word Processing tools effectively for the final report as per the syllabus requirements.
4. **Teamwork:** If working in a team of five, ensure clear division of labor while maintaining consistency in accounts.

Course Outcomes (COs)

CO No.	Description	Duration	Cognitive Level
CO1	Prepare different vouchers supporting various business transactions.	15 Hours	Applying
CO2	Record the transactions into suitable books of accounts.	15 Hours	Applying
CO3	Construct trial balance, trading account, profit loss account and balance sheet.	15 Hours	Applying

CO No.	Description	Duration	Cognitive Level
CO4	Apply the formatting tools of Word Processing.	15 Hours	Applying

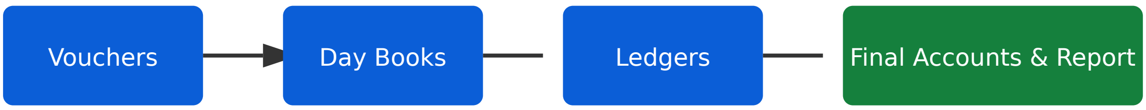
Syllabus Coverage Map

Mapping Project Phases to Course Content

Phase	Syllabus Topic	Deliverable
Phase 1	Voucher Preparation (Sales, Purchase, Returns, Expenses, Incomes)	Supporting Documents
Phase 2	Recording in Day Books (Sales, Purchase, Journal Proper, Cash Book)	Books of Original Entry
Phase 3	Ledger Posting & Final Accounts (Trial Balance, P&L, Balance Sheet)	Financial Statements
Phase 4	Report Documentation & Word Processing	Typed Project Report

Project Roadmap

The Minor Project follows the standard **Accounting Cycle** for a Sole Proprietor (Non-manufacturing entity). It begins with a business event (Transaction) and ends with the communication of financial results (Balance Sheet) in a professionally formatted report.



Module 1: Voucher Preparation (CO1)

Duration: 15 Hours | Cognitive Level: Applying

Vouchers are the primary evidence of business transactions. In this phase, students must collect or prepare vouchers for various transactions.

Types of Vouchers to Include:

- **Sales Vouchers:** For credit and cash sales.
- **Purchase Vouchers:** Invoices received from suppliers.
- **Returns Vouchers:** Debit notes and Credit notes for sales/purchase returns.
- **Expense Vouchers:** For rent, electricity, salary, etc.
- **Income Vouchers:** For commission received, interest, etc.

Malayalam support: [illegible] (Transactions) [illegible]. [illegible], [illegible], [illegible], [illegible]. [illegible].

CASH VOUCHER (Sample)

Voucher No: _______ Date: __/__/____

Debit Account: ___________________

Amount (in words): ________________

Stamp Signature

Basic structure of a Payment Voucher

Module 2: Recording in Books of Accounts (CO2)

Duration: 15 Hours | Cognitive Level: Applying

Using the vouchers prepared in Phase 1, record the transactions into the appropriate Day Books.

Required Books:

Book Name	Purpose
Sales Day Book	Recording all credit sales of goods.
Purchase Day Book	Recording all credit purchases of goods.
Cash Book	Recording all cash and bank transactions.
Journal Proper	For transactions that don't fit elsewhere (Opening entries, depreciation, credit purchase of assets).

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Module 3: Final Accounts Construction (CO3)

Duration: 15 Hours | Cognitive Level: Applying

This phase involves summarizing the recorded data to find the financial position of the sole proprietorship.

Steps:

1. **Ledger Posting:** Post entries from Day Books to individual accounts.
2. **Trial Balance:** List all ledger balances to check arithmetical accuracy.
3. **Trading Account:** Calculate Gross Profit/Loss.
4. **Profit & Loss Account:** Calculate Net Profit/Loss.
5. **Balance Sheet:** Statement of Assets and Liabilities.

Calculation Example (Gross Profit):
Given: Sales = ₹5,00,000; Opening Stock = ₹50,000; Purchases = ₹3,00,000; Closing Stock = ₹70,000.
Required: Gross Profit.
Calculation:
Cost of Goods Sold (COGS) = Opening Stock + Purchases - Closing Stock
COGS = 50,000 + 3,00,000 - 70,000 = ₹2,80,000
Gross Profit = Sales - COGS = 5,00,000 - 2,80,000 = ₹2,20,000.
Answer: Gross Profit is ₹2,20,000.

Module 4: Word Processing & Reporting (CO4)

Duration: 15 Hours | Cognitive Level: Applying

The final project must be a typed report. Students must demonstrate proficiency in word processing tools.

Official Report Format:

- Title page
- Declaration
- Certificate (Teacher & HOD)
- Acknowledgements
- Contents
- **Introduction:** Theory of recording transactions.
- **Vouchers:** Scanned copies or typed formats.
- **Day books & Ledgers:** Tabular representation.
- **Trial Balance & Final Accounts:** Properly formatted statements.

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Official Activities & Requirements

Practical Requirements

- Collection of real-world business documents (Invoices, Receipts).
- Drafting a hypothetical business scenario for a Sole Proprietor.
- Use of Computers for report generation.
- Presentation of the report to the internal examiner.

Formula & Procedure Bank

Accounting Equation

Assets = Liabilities + Capital

Net Profit

Gross Profit + Other Income - Operating Expenses

Standard Procedure for Project

1. Identify Transactions → 2. Prepare Vouchers → 3. Journalize → 4. Post to Ledger → 5. Prepare Trial Balance → 6. Prepare Final Accounts → 7. Compile Report.

Visual Library

Accounting Cycle Diagram

Refer to the Roadmap Section for the visual flow of the project.

Voucher Layout

Refer to Module 1 for the SVG sample of a Cash Voucher.

Assessment Methodology

Assessment Type: Continuous Internal Assessment (CIA).

As per the syllabus note: "*CIA as included in handbook*". This typically involves:

- **Progress Monitoring:** Evaluation of voucher preparation and book-keeping (CO1, CO2).
- **Final Output:** Accuracy of Final Accounts (CO3).
- **Report Quality:** Formatting, structure, and presentation (CO4).
- **Viva-Voce:** Questions based on the project work.

Module-wise Questions & Answers

Module 1 & 2 (Vouchers & Books)

What is the difference between a source document and a voucher?

A source document (like an invoice or cash memo) is the evidence of a transaction. A voucher is an internal document prepared by the accountant based on the source document to specify which accounts are to be debited and credited.

Which transactions are recorded in the Journal Proper during the project?

Transactions that cannot be recorded in special day books, such as:

- Opening entries.
- Credit purchase/sale of fixed assets.
- Depreciation entries.
- Rectification entries.

Module 3 & 4 (Final Accounts & Report)

Why is a Trial Balance prepared before Final Accounts?

To verify the arithmetical accuracy of the ledger postings. If the total of debits equals the total of credits, it suggests that the double-entry rules were followed correctly, providing a base for preparing the Trading and P&L accounts.

What formatting tools are essential for the CO4 requirement?

Essential tools include:

- Table insertion for accounts.
- Page numbering and Table of Contents.
- Header and Footer for project title.
- Font styling and alignment for professional look.

Practice Model Paper

Note: This is a Practice Model Paper for project evaluation preparation. It is NOT an official examination paper.

Project Evaluation Mock Viva

1. Explain the business nature of the entity you chose for the project.
2. Show the voucher for the largest credit purchase in your records.
3. How did you treat 'Closing Stock' in your Trading Account and Balance Sheet?
4. Identify one transaction that you recorded in the Journal Proper and explain why.
5. Demonstrate how you used 'Styles' or 'Table Formatting' in your Word report.

Quick Revision

Key Points

- Project is for **Non-manufacturing** sole proprietors.
- Vouchers are the foundation of your project.
- Day books must include Sales, Purchase, Cash, and Journal Proper.
- Final report must follow the specific order (Title → Contents → Theory → Accounts).

Exam Checklist

- [ ] All 60 hours of practical work documented?
- [ ] Vouchers for all types of transactions included?
- [ ] Trial Balance tallied?
- [ ] Report typed and formatted?
- [ ] Certificate signed by HOD?

Glossary

Sole Proprietor
: A business owned and managed by a single individual.

Vouching
: The act of examining documentary evidence to support transactions.

Journal Proper
: A residual book of prime entry for transactions not covered by other subsidiary books.

Trading Account
: An account prepared to determine the gross profit or gross loss of a business.

Official References

- **T1:** S.P. Jain & K.L. Narang. *Fundamentals of Accountancy*. Kalyani Publishers, New Delhi.

- **R1:** B.S. Raman. *Advanced Accountancy- volume I*. United Publishers, Mangalore.
- **R2:** Shehkar & Shekhar. *Auditing*. Vikas Publishing House, New Delhi.
- **R3:** Dinkar Pagare. *Principles and Practice of Auditing*. Sulthan Chand & sons, New Delhi.